

Literature review

KIVA:

Kiva's model connects borrowers with lenders through crowdfunded microloans. Kiva works with lending partners such as microfinance institutions, nonprofits and other organizations that help identify borrowers and administer loans.

Kiva – Design Analysis

Kiva is a digital micro-lending platform that connects borrowers and lenders through a crowdfunding-based lending model. Kiva's official description explains that lenders can browse borrowers, select a person to support, choose an amount, and fund loans through the platform. Kiva also works with lending partners that help identify borrowers and administer loans.

Advantages of Kiva's Design:

1. Clear Borrower-Focused Information:

Kiva's design is that it provides information about the **borrower and the purpose of the loan**.

When a lender wants to support a loan, they can understand things such as:

- Who the borrower is
- What the borrower needs the money for
- The amount required
- The type/purpose of the loan
- Relevant information about the borrower

2. Simple Lending Concept:

The basic lending process is easy to understand. A lender can browse available borrowers, select a loan and choose the amount to contribute. This provides a straightforward user experience.

3. Human-Centered Presentation

Kiva presents information about individual borrowers and their requirements instead of presenting the loan only as a financial transaction. This provides users with better context about the purpose of the loan and makes the platform more engaging.

Drawbacks / Areas for Improvement:

Large Amount of Information:

Loan pages may contain several types of information about the borrower, loan and funding process. For new users, a large amount of information may require additional time to understand and navigate.

Crowdfunding Adds an Additional Step:

Kiva's crowdfunding model requires contributions from lenders to fund a loan. This introduces an additional stage between the loan request and completion of funding.

Multiple Actors Increase System Complexity:

The Kiva model can involve multiple participants, including:

- Borrower
- Lender
- Kiva
- Lending Partner

The involvement of multiple participants can make information flow and coordination more complex.

Future Scope / Proposed Improvements:

Based on the study of Kiva, our proposed system can provide a **simple step-by-step loan application** with clear progress tracking. Separate **borrower and admin dashboards** can be provided to manage loan applications, approvals, repayments and reports. The system can also provide **clear loan-status tracking**, simple explanations of financial terms, and **role-based access** for better usability and security. These improvements can make the complete micro-loan lifecycle easier to manage in a single system.

NAVI:

Navi is a digital financial services application that provides users with access to financial services through a mobile-based platform. It focuses on making financial processes digital, convenient, and accessible to users.

Navi – Design Analysis

Navi provides a digital platform where users can access financial services through a mobile application. The application is designed to reduce manual processes and allow users to manage financial services digitally.

Advantages of Navi's Design:

1. Simple Digital Process:

Navi provides a digital process for accessing financial services.

Users can perform activities through the application without depending completely on manual procedures.

- Digital application process
- Easy access to financial services
- Reduced paperwork
- Mobile-based access

2. Easy Accessibility:

Navi allows users to access financial services through their mobile devices. This provides convenience because users can access the services from different locations.

3. Fast Digital Processing:

The digital nature of the application can reduce manual processing and make financial service workflows faster and more convenient for users.

Drawbacks / Areas for Improvement:

Information Understanding:

Financial applications may contain different terms and details related to loans and repayments. New users may require additional explanation to understand these details.

Internet Dependency:

Since Navi is a digital application, users depend on internet connectivity to access its services.

Security and Privacy:

The application handles financial and personal information. Therefore, strong security and privacy mechanisms are important to protect user data.

Future Scope / Proposed Improvements:

Based on the study of Navi, our proposed system can provide a **simple step-by-step loan application** with clear progress tracking. Separate **borrower and admin dashboards** can be provided to manage loan applications, approvals, repayments and reports. The system can also provide **clear loan-status tracking**, simple explanations of financial terms, automatic overdue notifications, and **role-based access** for better usability and security. These improvements can make the complete micro-loan lifecycle easier to manage in a single system.